BUDGET ALLOCATION
₹350 CRORE
(Cash crops)

CRACKING THE COCONUT PUZZLE

Renewed focus on cash crops like coconut and cashew is expected to change India's cereal-centrism

By **ANILESH S. MAHAJAN**



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The budget turns to India's coasts for a new agricultural thrust, diversifying a game that has so far focused on staple crops. A Rs 350 crore package has been announced for 'high-value and plantation crops' i.e. 'cash crops' like coconut, cashew, cocoa, sandalwood and arecanut. These are mostly grown only for sale domestically or abroad, and processed into lucrative products like coconut oil, coir or coco peats. This year's allocation is less than 0.3 per cent of the Rs 1.63 lakh crore reserved for the entire country's farms, but the geography of action is telling. The southern coasts, where these crops dominate, have long felt ignored by a cereal-centric farm policy. Two crops, coconut and cashew, have gotten particular attention now.

The Coconut Promotion Scheme has Rs 150 crore earmarked and is meant to replace ageing palm trees with more resilient varieties, improve yields and promote processed products. Though experts say this amount can fund little more than 'demonstration farms' and some schemes for farmers, it should help the sector revisit its priorities. India produces a fourth of all coconuts but processes only a fifth of that. Rivals Indonesia and the Philippines, both of whom grow more than India, process 60-70 per cent of it annually and have become exporting powers with a securer farming populace. India remains, primarily, a producer of raw coconuts.

Policymakers recommend setting up modern processing units with cold storage and testing facilities in the major producer states—Kerala, Tamil Nadu and Karnataka. A floor price for copra (the dried white meat of the coconut) and guaranteed procurement during adverse harvests are crucial. Farmers also need to be given easier access to credit for replanting and buying equipment, as well as better irrigation and links to markets. 'Coconut parks' can also be created, where all activities from procurement to exports are managed. Giving more powers to the Coconut Development Board and aligning state and central policies can help smooth things over.

As for cashews (which have cornered Rs 100 crore in the budget), the aims are rejuvenation of orchards but, like coconuts, it will take more than government funds to nudge their competitiveness, especially as processing is limited and imports fill the gap. The same goes for other cash crops like tea, coffee, rubber and spices—the budget relies on branding and certification drives rather than radical measures. In their absence, smallholders of cash crops will keep facing volatility and distress. Meanwhile, though, they can leverage the budget offering of a 'Bharat-VISTAAR' app, where they can get weather and market updates in local languages. ■



"The step is in the right direction. Demand for coconut and byproducts is rising, but the crop faces recurring problems of pests and diseases, low yields and very small landholdings"
— P.G. CHENGAPPA, *former VC, University of Agricultural Sciences, Bengaluru, and National Professor, ICAR*

THE FUTURE BET

- **India produces a fourth of all coconuts but processes only a fifth. The new coconut promotion scheme aims to change that**
- **Bharat-VISTAAR app can help farmers access weather and market updates and avoid volatility and distress**